

189. The optimal capital structure, according to the traditional approach, is achieved when
 A. The cost of debt is minimized
 B. The cost of equity is minimized
 C. The weighted average cost of capital (WACC) is minimized
 D. The earnings per share (EPS) is maximized
190. Which theory suggests that firms have a preference for internal financing (retained earnings) over external financing?
 A. Modigliani and Miller's Proposition I
 B. Modigliani and Miller's Proposition II
 C. Trade-off theory
 D. Pecking order theory
191. What is the key assumption of Modigliani and Miller's Proposition II without taxes?
 A. The cost of debt is equal to the cost of equity.
 B. The value of the leveraged firm is independent of its capital structure.
 C. Taxes have no impact on the value of the leveraged firm.
 D. Financial distress costs are zero.
192. In the context of financial leverage, what does the term "break-even point" refer to?
 A. The point at which a firm covers all its fixed financial costs.
 B. The point at which a firm covers all its variable costs.
 C. The point at which a firm covers both fixed financial costs and variable costs.
 D. The point at which a firm achieves maximum profitability.
193. According to Modigliani and Miller's Proposition I without taxes, how is the value of a leveraged firm related to its capital structure?
 A. The value of the leveraged firm increases with the use of debt.
 B. The value of the leveraged firm decreases with the use of debt.
 C. The value of the leveraged firm is independent of its capital structure.
 D. The value of the leveraged firm is maximized when there is no debt.
194. According to Modigliani and Miller's Proposition I with taxes, how does the value of a leveraged firm compare to the value of an unleveraged firm?
 A. The leveraged firm is valued higher due to the tax shield on interest payments.
 B. The leveraged firm is valued lower due to the tax shield on interest payments.
 C. The leveraged and unleveraged firms have the same value.
 D. The leveraged firm is valued higher, but taxes do not play a role.
195. What does Modigliani and Miller's Proposition II without taxes state about the relationship between the cost of equity and the use of debt?
 A. The cost of equity increases linearly with the use of debt.
 B. The cost of equity decreases linearly with the use of debt.
 C. The cost of equity is independent of the use of debt.
 D. The cost of equity is inversely proportional to the use of debt.
196. What is the primary source of business risk for a company?
 A. Financial leverage
 B. Interest rate fluctuations
 C. Changes in market demand
 D. Currency exchange rates
197. Which of the following is an example of operational risk?
 A. Changes in interest rates.
 B. Natural disasters
 C. Currency exchange rate fluctuations.
 D. Changes in market demand.
198. In a world without taxes, according to Modigliani and Miller's proposition-I, how does the capital structure affect the value of the firm?
 A. The value is maximized with more debt.
 B. The value is maximized with more equity
 C. The value is maximized with an equal mix of debt and equity
 D. The value is irrelevant to the capital structure
199. How does the market value of equity change in Modigliani and Miller's proposition-II with taxes as the debt-equity ratio increases?
 A. Increases linearly
 B. Decreases linearly
 C. Remains constant
 D. Depends on the corporate tax rate
200. According to the traditional approach to capital structure, what is the optimal mix of debt and equity?
 A. 50% debt, 50% equity
 B. The mix that maximizes shareholder wealth
 C. The mix that minimizes financial leverage
 D. The mix that minimizes taxes.
201. According to the dividend irrelevance theory, how does the dividend policy of a company affect its stock price?
 A. Dividend policy affects stock price
 B. Dividend-policy has no impact on stock price
 C. Stock price depends on earnings only
 D. Stock price depends on the industry
202. How does an increase in the dividend payout ratio impact a company's cost of equity?
 A. Increases the cost of equity
 B. Decreases the cost of equity
 C. Has no impact on the cost of equity
 D. Depends on the dividend yield
203. Which dividend policy is associated with a stable and predictable dividend payout each period?
 A. Constant dividend payout ratio
 B. Residual dividend policy
 C. Regular dividend policy
 D. Irregular dividend policy

14. What is the primary objective of IPSAS?
 - A. Harmonizing global financial reporting standards for the private sector
 - B. Facilitating international trade agreements
 - C. Enhancing accountability and transparency in public sector financial reporting
 - D. Promoting tax regulations across nations
15. What is the primary purpose of a capital project fund in governmental accounting?
 - A. To account for general government operations
 - B. To accumulate resources for and manage long-term capital projects
 - C. To record day-to-day operational activities
 - D. To manage specific revenue sources
16. In a capital project fund, which of the following is a typical source of funding for long-term capital projects?
 - A. Property taxes
 - B. Grants for specific programs
 - C. Sales tax revenue
 - D. Operating income
17. Which fund would account for the payment of principal and interest on a government's outstanding bonds?
 - A. General Revenue Fund
 - B. Debt Service Fund
 - C. Capital Project Fund
 - D. Special Revenue Fund
18. What are current assets?
 - A. Assets purchased within the last year.
 - B. Assets expected to be converted into cash within one year or operating cycle.
 - C. Assets which will be used within the next month.
 - D. Assets are the net working capital of the firm.
19. The income statement reveals
 - A. Resources and equities of a firm at a point in time
 - B. Net earnings (net income) of a firm for a period of time
 - C. Resources and equities of a firm for a period of time
 - D. Net earnings (net income) of a firm at a point in time
20. Which one of the following statements regarding the statement of financial position is **false**?
 - A. It was formerly known as the balance sheet.
 - B. It shows the assets and liabilities of a business at a certain point in time.
 - C. It shows how much the owner has invested in the business.
 - D. It shows the average assets and liabilities of a business over the last financial period
21. Which one of the following is **not** a category of cash flows required to be shown on the statement of cash flows?
 - A. Cash flows from operating activities
 - B. Cash flows from taxation
 - C. Cash flows from financing activities
 - D. Cash flows from investing activities
22. When preparing bank reconciliation, bank collections are:
 - A. Deducted from the bank statement balance.
 - B. Added to the balance per books.
 - C. Added to the bank statement balance
 - D. Deducted from the balance per books.
23. Which of the following method considers each unit in inventory as having the same cost?
 - A. FIFO
 - B. LIFO
 - C. Weighted Average
 - D. Specific Identification
24. Which one of the following is correct about Credits?
 - A. Increase both assets and liabilities
 - B. Decrease both assets and liabilities
 - C. Increase assets and decrease liabilities
 - D. Decrease assets and increase liabilities
25. Which one of the following is/are the reason/s for purchase return?
 - A. Inferior quality of goods received
 - B. Wrong specification or order
 - C. Damage caused to goods in shipment
 - D. All of the above

204. How is the Net Realizable value (NRV) calculated for inventory?
 A. Cost - Market Value
 B. Selling Price - Selling Costs
 C. Cost - Estimated Selling Price
 D. Market Value - Selling Costs
205. In the context of LCMNRV, when is the write-down of inventory necessary?
 A. When the historical cost exceeds the replacement cost
 B. When the estimated selling price is less than the original cost
 C. When the market value is higher than the selling price
 D. When the historical cost is lower than the net realizable value
206. Which of the following is the main purpose of applying LCMNRV to inventory?
 A. Maximize reported profit
 B. Minimize tax liability
 C. Maintain historical cost accuracy
 D. Ensure inventory is fairly presented on the balance sheet
207. Which of the following best defines a business combination?
 A. a transaction where one company purchases another company's shares
 B. a transaction where two or more companies merge to form a new entity
 C. a transaction where a company acquires control over another company
 D. a transaction where companies engage in joint ventures for a specific project
208. What is the primary objective of a business combination?
 A. to eliminate competition in the market
 B. to increase the number of shareholders in the acquiring company
 C. to achieve synergies and enhance shareholder value
 D. to comply with regulatory requirements
209. Which accounting method is commonly used to account for business combinations?
 A. cost method
 B. equity method
 C. fair value method
 D. historical cost method
210. When should a business combination be accounted for using the acquisition method?
 A. when the acquiring company purchases less than 20% of the target company's shares
 B. when the acquiring company gains control over the target company
 C. when the target company's shareholders retain control after the transaction
 D. when the business combination involves a merger of equals
211. How is goodwill calculated in a business combination?
 A. it is the excess of the fair value of consideration transferred over the fair value of the identifiable net assets acquired
 B. it is the difference between the historical cost of the target company and the fair value of consideration transferred
 C. it is the difference between the market value of the acquiring company's shares and the market value of the target company's shares
 D. it is the amount paid by the acquiring company to the target company's shareholders
212. Which of the following statements is true regarding the treatment of transaction costs in a business combination?
 A. transaction costs are capitalized as part of the cost of the acquisition
 B. transaction costs are expensed as incurred in the period in which they are accrued
 C. transaction costs are treated as part of goodwill calculation
 D. Transaction costs are excluded from the accounting for the business combination.
213. Under the equity method, how does the acquiring company account for its investment in the acquired company?
 A. by recognizing the fair value of the acquired company's assets and liabilities
 B. by recording its share of the acquired company's profits or losses in its income statement
 C. by consolidating the financial statements of the acquiring and acquired companies
 D. by recognizing the acquired company's assets and liabilities at historical cost
214. Which of the following is a reason for conducting a business combination?
 A. to reduce the size of the acquiring company
 B. to eliminate competition in the market
 C. to achieve economies of scale and scope
 D. to maintain separate operations and identities
215. How is non-controlling interest (NCI) treated in a business combination?
 A. NCI is recorded as a liability on the acquiring company's balance sheet.
 B. NCI is recorded as part of goodwill on the acquiring company's balance sheet.
 C. NCI is recorded as a separate equity item on the acquiring company's balance sheet.
 D. NCI is recorded as revenue on the acquiring company's income statement.
216. Which of the following is not a method of business combination?
 A. merger
 B. acquisition
 C. joint venture
 D. Consolidation.
217. What is a common defense mechanism used by target companies to resist hostile takeovers?
 A. poison pill
 B. white knight
 C. golden parachute
 D. crown jewel.
218. Which defense mechanism involves issuing new shares of stock to existing shareholders, diluting the acquirer's ownership stake?
 A. greenmail
 B. pac-man defense
 C. golden handshake
 D. crown jewel.

233. Company A enters into a joint venture with company B to develop a new product. How should company A account for its investment in the joint venture?

A. Using the equity method

B. Using the fair value method

C. Using the cost method

D. Using the historical cost method.

234. Company X purchases 100% of the outstanding shares of company Y, gaining control over its operations. Which of the following statements is true regarding the accounting treatment of this acquisition?

A. Goodwill is recognized as the difference between the purchase price and the book value of company Y's assets and liabilities.

B. Goodwill is not recognized in a 100% acquisition.

C. Goodwill is recognized if the acquisition price exceeds the fair value of company Y's identifiable net assets.

D. Goodwill is recognized only if the acquisition price is less than the fair value of company Y's identifiable net assets.

235. Company A acquires 70% of the outstanding shares of company B, gaining significant influence over its operations. Which accounting method is most appropriate for company A to use to account for this investment?

A. Fair value method

B. Equity method

C. Historical cost method

D. Cost method.

236. Company A acquires 100% of the outstanding shares of company B in a business combination. How should the non-controlling interest (NCI) be presented in the consolidated financial statements?

A. As a liability on the balance sheet

B. As a separate line item in the equity section of the balance sheet

C. As revenue in the income statement

D. As an expense in the income statement.

237. Company A acquires 80% of the outstanding shares of company B on January 1, 2021, for \$800,000. On that date, the fair value of company B's identifiable net assets is \$750,000. What amount of goodwill should be reported in the consolidated financial statements on the date of acquisition?

A. \$50,000

B. \$200,000

C. \$640,000

D. \$800,000.

238. On the date of acquisition, company A determines that the fair value of company B's identifiable net assets is \$500,000, while the consideration transferred is \$550,000. How should the excess of consideration transferred over the fair value of identifiable net assets be treated in the consolidated financial statements?

A. Recognized as an expense in the income statement

B. Recorded as an asset on the balance sheet

C. Recognized as goodwill on the balance sheet

D. Distributed to shareholders as dividends.

239. Company A acquires 90% of the outstanding shares of company B for \$700,000. On the date of acquisition, company B's identifiable net assets have a fair value of \$500,000. What is the amount of goodwill reported in the consolidated balance sheet on the date of acquisition?

A. \$500,000

B. \$700,000

~~200,000~~

C. ~~\$250,000~~

D. \$450,000.

240. Company X acquires 80% of the outstanding shares of company Y for \$800,000. On the date of acquisition, company Y's identifiable net assets have a fair value of \$600,000. What is the total equity reported in the consolidated balance sheet on the date of acquisition?

A. \$600,000

B. \$640,000

C. \$800,000

D. \$920,000.

241. Company X acquires 85% of the outstanding shares of company Y for \$800,000. On the date of acquisition, company Y's identifiable net assets have a fair value of \$700,000. What is the goodwill reported in the consolidated balance sheet on the date of acquisition?

A. \$800,000

B. \$50,000

C. \$100,000

D. \$205,000.

242. Company A acquires 100% of the outstanding shares of company B for \$1,000,000. On the date of acquisition, company B's identifiable net assets have a fair value of \$900,000. What is the total equity reported in the consolidated balance sheet on the date of acquisition?

A. \$900,000

B. \$1,000,000

C. \$1,100,000

D. \$1,200,000.

243. Company A acquires 80% of the outstanding shares of company B for \$800,000. On the date of acquisition, company B's identifiable net assets have a fair value of \$700,000. What is the total equity reported in the consolidated balance sheet on the date of acquisition?

A. \$700,000

B. \$800,000

C. \$940,000

D. \$1,000,000.

244. Which of the following statements is true regarding the reporting of gains or losses due to changes in exchange rates in the income statement?

A. They are always reported as operating expenses.

B. They are reported as part of other comprehensive income.

C. They are recorded directly in retained earnings.

D. They are disclosed in the footnotes to the financial statements.

- A. A target company with a significant cash reserve
 B. A method of financing acquisitions with cash
 C. A business unit that generates consistent and substantial cash flows
 D. A term for excessive cash compensation in a merger
174. Company P acquires 20% of a company Q for \$300,000. Calculate the goodwill to be recognized if the fair value of company Q's net assets is \$400,000.
 A. \$220,000
 B. \$330,000
 C. \$280,000
 D. \$100,000
175. Proprietary funds include which two types of funds in governmental accounting?
 A. General Fund and Special Revenue Fund
 B. Enterprise Fund and Internal Service Fund
 C. Capital Project Fund and Debt Service Fund
 D. General Revenue Fund and Capital Project Fund
176. What distinguishes enterprise funds from internal service funds in proprietary accounting?
 A. Enterprise Funds serve external users, while Internal Service Funds serve internal users.
 B. Internal Service Funds are for-profit, while Enterprise Funds are not.
 C. Enterprise Funds are only used for long-term capital projects.
 D. Internal Service Funds are restricted to a specific purpose.
177. What is a primary function of financial institutions?
 A. Manufacturing goods
 B. Providing financial services
 C. Offering healthcare services
 D. Conducting legal services
178. Which type of financial institution primarily accepts deposits from the public and provides loans?
 A. Commercial bank
 B. Investment bank
 C. Credit union
 D. Insurance company
179. What is the primary function of a central bank in a country's financial system?
 A. Providing consumer loans
 B. Regulating and overseeing monetary policy
 C. Offering investment advisory services
 D. Facilitating international trade
180. What is the primary function of an insurance company?
 A. Providing mortgage loans
 B. Facilitating stock trading
 C. Accepting deposits
 D. Managing risks through the sale of insurance policies
181. What is the primary function of financial markets?
 A. Manufacturing goods
 B. Facilitating trade
 C. Providing healthcare services
 D. Providing a platform for buying and selling financial assets
182. Financial markets facilitates the transfer of:
 A. Goods and services
 C. Manufacturing equipment
 D. Intellectual property
 B. Financial assets
183. The money market is primarily associated with the trading of:
 A. Long-term bonds
 C. Short-term debt securities
 D. Real estate
 B. Stocks
184. What is operating leverage?
 A. The use of debt to increase returns for shareholders.
 B. The degree to which a firm uses fixed costs in its operations.
 C. The amount of financial risk associated with a firm's capital structure.
 D. The variability of a firm's earnings before interest and taxes (EBIT) with changes in sales
185. Which capital structure theory emphasizes the relevance of both taxes and bankruptcy costs?
 A. Modigliani and Miller's Proposition I with taxes
 B. Modigliani and Miller's Proposition II without taxes
 C. Trade-off theory
 D. Pecking order theory
186. What does the Break-even point indicate in the context of operating leverage?
 A. The point at which a firm covers all its fixed and variable costs.
 B. The point at which a firm starts making profits.
 C. The point at which a firm achieves its maximum sales.
 D. The point at which a firm becomes bankrupt.
187. According to Modigliani and Miller's Proposition II without taxes, the cost of equity:
 A. Increases with the use of debt.
 B. Decreases with the use of debt.
 C. Remains constant regardless of the capital structure.
 D. Is irrelevant in determining the firm's value.
188. Which of the following is NOT a factor affecting the degree of operating leverage?
 A. Fixed operating costs.
 C. Sales volume.
 D. Financial leverage.
 B. Variable operating costs.

219. What does a white knight defense entail?
 A. the target company merges with a friendly suitor to avoid acquisition by a hostile bidder.
 B. the target company issues debt to finance a large dividend payment, making the acquisition less attractive.
 C. the target company sells off its most valuable assets to make itself less desirable to the acquirer.
 D. the target company's management threatens to resign en masse if the acquisition proceeds.
220. What is the purpose of a capital projects fund?
 A. To pay off government debt
 B. To fund ongoing operations and services
 C. To fund specific projects or programs that involve construction, acquisition, or improvement of major capital facilities or infrastructure
 D. To support political campaigns
221. Which of the following funds is used to account for the acquisition, construction, and maintenance of infrastructure assets?
 A. Enterprise fund
 C. General fund
 B. Internal service fund
 D. Capital projects fund
222. What is the main objective of International Public Sector Accounting Standards (IPSAS)?
 A. To harmonize financial reporting standards across all public sector entities globally
 B. To provide guidelines for anti-corruption and transparency in public sector entities
 C. To ensure that public sector entities have consistent and fair accounting practices
223. What is the primary purpose of the cash basis IPSAS?
 A. To provide a framework for financial reporting based on accrual accounting principles
 B. To provide guidance on how cash should be accounted for within a public sector entity
 C. To ensure compatibility with the accrual basis IPSAS
224. Which of the following is NOT one of the Pillars of IPSASB's conceptual framework?
 A. Accountability
 C. Control
 B. Transparency
 D. Comparability
225. Which of the following is NOT one of the components of Financial Statements as per IPSAS?
 A. Balance Sheet
 C. Statement of Cash Flows
 B. Statement of Financial Performance
 D. Statement of Assets and Liabilities
226. Which of the following is NOT an IPSAS requirement for presentation of financial statements?
 A. Proper classification, presentation and disclosure of information
 B. Disclosure of major components of net worth
 C. Disclosure of contingent liabilities
 D. Disclosure of revenue forecasts
227. what does a white knight defense entail?
 A. the target company merges with a friendly suitor to avoid acquisition by a hostile bidder.
 B. the target company issues debt to finance a large dividend payment, making the acquisition less attractive.
 C. the target company sells off its most valuable assets to make itself less desirable to the acquirer.
 D. the target company's management threatens to resign en masse if the acquisition proceeds.
228. Which defense mechanism involves the target company making itself less attractive by taking on excessive debt or engaging in unfavorable financial transactions?
 A. crown jewel
 C. scorched earth
 B. poison pill
 D. golden handshake.
229. which of the following is a characteristic of a merger?
 A. both companies maintain their separate identities.
 B. one company purchases another company's shares.
 C. the fair value of consideration transferred is recorded as goodwill.
 D. shareholders of the merged companies receive shares in the new entity.
230. what is the primary difference between a merger and an acquisition?
 A. in a merger, both companies maintain their separate identities, while in an acquisition, one company gains control over the other.
 B. in a merger, one company purchases another company's shares, while in an acquisition, both companies combine to form a new entity.
 C. in a merger, goodwill is recognized as an asset, while in an acquisition, it is not.
 D. in a merger, the fair value of consideration transferred is recorded as goodwill, while in an acquisition, it is not.
231. company a acquires 80% of the outstanding shares of company b, gaining control over its operations. which accounting method is most appropriate for company a to use to account for this business combination?
 A. cost method
 C. fair value method
 B. equity method
 D. historical cost method
232. Company X merges with company y to form a new entity. company z. how should company Z account for the merge according to accounting standards?
 A. Recognize the fair value of assets and liabilities acquired from both company X and company Y.
 B. Recognize the historical cost of assets and liabilities acquired from both company X and company Y.
 C. Recognize the book value of assets and liabilities acquired from both company X and company Y.
 D. Consolidate the financial statements of company X and company Y without any adjustments.

A. Joint ventures involve shared control, while joint operations involve unilateral control
 B. Joint ventures always have three or more parties involved, while joint operations involve only two parties
 C. Joint ventures are only recognized under local accounting standards, while joint operations are recognized under international accounting standards
 D. Joint ventures are limited to specific industries, while joint operations can occur across various industries

128. XYZ Ltd has a 30% ownership interest in a joint venture. How should XYZ account for its investment in the joint venture under the equity method if the joint venture reports a profit of \$100,000?
 A. Recognize \$30,000 as revenue in XYZ's income statement
 B. Recognize \$100,000 as revenue in XYZ's income statement
 C. Recognize \$30,000 as a reduction in the carrying amount of the investment
 D. Recognize \$100,000 as an increase in the carrying amount of the investment
129. What is the purpose of the post-closing trial balance?
 A. To ensure that debits equal credits after closing entries are made
 B. To verify the accuracy of closing entries
 C. To prepare financial statements
 D. To analyze transactions before closing the books for the period
130. Which account is not closed at the end of the accounting period?
 A. Revenue accounts
 B. Expense accounts
 C. Dividend accounts
 D. Asset accounts
131. Which of the following accounts is classified as a liability?
 A. Accounts Receivable
 B. Prepaid Rent
 C. Accounts Payable
 D. Equipment
132. ABC Ltd. purchased equipment for Birr 800,000 by issuing a promissory note. Which accounts are affected by this transaction?
 A. Equipment increases; Notes Payable increases
 B. Equipment increases; Cash increases
 C. Equipment decreases; Notes Receivable decreases
 D. Equipment decreases; Cash decreases
133. If a company records Birr 20,000 in depreciation expense for the period, which accounts are affected?
 A. Depreciation Expense increases; Accumulated Depreciation decreases
 B. Depreciation Expense decreases; Accumulated Depreciation decreases
 C. Depreciation Expense increases; Accumulated Depreciation increases
 D. Depreciation Expense decreases; Accumulated Depreciation increases
134. Which costing method assigns fixed overhead costs to products?
 A. Variable costing
 B. Activity-based costing
 C. Standard costing
 D. Absorption costing
135. Which cost changes in direct proportion to changes in the volume of production?
 A. Direct costs
 B. Indirect costs
 C. Variable costs
 D. Fixed costs
136. What is the formula for contribution margin?
 A. Sales revenue - variable costs
 B. Gross profit - fixed costs
 C. Operating income - sales revenue
 D. Cost of goods sold - operating expenses
137. Which of the following is an example of a fixed cost?
 A. Direct labor
 B. Raw materials
 C. Property taxes
 D. Packaging materials
138. What is the difference between absorption costing and variable costing?
 A. Absorption costing assigns all manufacturing costs to products, while variable costing assigns only variable costs
 B. Absorption costing is used for internal decision-making, while variable costing is used for financial reporting
 C. Absorption costing provides a more accurate picture of product costs, while variable costing provides a better measure of profitability
 D. Absorption costing is used for long-term planning, while variable costing is used for short-term decision-making
139. If a company records Birr 30,000 in prepaid insurance, which accounts are affected?
 A. Prepaid Insurance increases; Cash decreases
 B. Prepaid Insurance increases; Insurance Expense increases
 C. Prepaid Insurance decreases; Cash increases
 D. Prepaid Insurance decreases; Insurance Expense increases
140. If a company pays rent for the current month, which accounts are affected?
 A. Rent Expense increases; Cash decreases
 B. Rent Expense decreases; Cash decreases
 C. Rent Expense increases; Accounts Payable decreases
 D. Rent Expense increases; Accounts Payable increases

B 156. Which accounting standard provides guidance on business combinations?

- A. IFRS 9
- B. IFRS 3

C. IAS 16

D. IAS 38

B 157. In a hostile takeover, how does the acquiring company gain control of the target company?

- A. Through negotiation and agreement

- B. By purchasing a majority of the target company's stock without its approval

- C. By forming a joint venture

D. Through a court order

A 158. In a vertical merger, what is the relationship between the combining companies?

- A. Supplier and customer

- B. Competitors in the same industry

C. Parent and subsidiary

D. Unrelated businesses

D 159. What is the primary reason for recognizing deferred tax liabilities and assets?

- A. To minimize current income tax payable

- B. To smooth out fluctuations in income tax expense

C. To comply with tax regulations

D. To adjust financial statements to tax accounting.

D 160. Deferred tax liabilities are recognized when:

- A. Taxable income exceeds book income

- B. Tax expense is greater than book income

C. Tax rates decrease

D. Tax expense is less than book income

D 161. How are deferred tax assets and liabilities affected when a temporary difference becomes permanent?

- A. Deferred tax assets decrease; deferred tax liabilities increase

- B. Deferred tax assets increase; deferred tax liabilities decrease

- C. Deferred tax assets are eliminated; deferred tax liabilities remain unchanged

- D. Deferred tax liabilities are eliminated; deferred tax assets remain unchanged.

B 162. What is the primary objective of share-based compensation?

- A. To reduce the company's tax liability

- B. To align the interests of employees with those of shareholders

- C. To increase earnings per share

D. To comply with regulatory requirements.

C 163. Which of the following is a common form of share-based compensation?

- A. Bonuses

- B. Retirement plans

C. Stock options

D. Overtime pay

A 164. What is a bearer plant in agricultural accounting?

- A. Plants that bear fruits or nuts

- B. Plants that do not produce any agricultural produce

C. Plants used for landscaping purposes

D. Plants in the early stages of development.

A 165. How are costs related to the initial recognition of a bearer plant typically accounted for?

- A. Recognized at historical cost.

- C. Recognized at net realizable value

- D. Ignored in financial statements until harvest.

B. Recognized at fair value

C 166. Which accounting standard provides guidance on the accounting for bearer plants?

- A. IAS 41 - Agriculture

- C. IAS 16 - Property, Plant and Equipment

- D. IFRS 15 - Revenue from Contracts with Customers.

B. IFRS 9 - Financial Instruments

A 167. How is the fair value of a bearer plant determined for accounting purposes?

- A. Historical cost minus accumulated depreciation

- B. Market value on the reporting date

C. Original purchase cost

D. Net realizable value at harvest

B 168. What is the main purpose of accounting for bearer plants in financial statements?

- A. Compliance with tax regulations

- B. Providing information about the entity's agricultural assets

- C. Reducing the complexity of financial reporting

- D. Minimizing depreciation expenses.

B 169. What is the primary characteristic of bearer plants in agricultural accounting?

- A. Annual production

- B. Multiple periods of produce

C. Short lifespan

D. Non-fruit-bearing

B 170. What is the role of the acquirer in a business combination?

- A. Maintain separate legal entities

- B. Assume control over the acquiree

C. Allow the acquiree to operate independently

D. Act as a passive investor

A 171. In a business combination, what is negative goodwill also known as?

- A. Bargain purchase gain

- B. Intangible asset

C. Fair value adjustment

D. Contingent consideration

D 172. What is the primary motive for a conglomerate merger?

- A. Synergy

- B. Diversification

C. Cost reduction

D. Market dominance

C 173. What is a "cash cow" in the context of business combination?

245. When a company has a foreign subsidiary, which of the following exchange rates is typically used to translate the subsidiary's financial statements into the reporting currency?
 A. historical exchange rate
 B. average exchange rate
 C. spot exchange rate
 D. Forward exchange rate

246. Company A, based in the United States, purchases inventory from a supplier in Europe for €100,000. The exchange rate at the time of purchase is 1 EUR = 1.2 USD. Subsequently, when the payment is made, the exchange rate has changed to 1 EUR = 1.3 USD. What amount should company A record as the cost of inventory in USD?
 A. \$100,000
 B. \$120,000
 C. \$130,000
 D. \$108,333.33

247. Company X, based in the United States, sells goods to a customer in Japan for ¥10,000,000. The exchange rate at the time of sale is 1 USD = 110 JPY. When the payment is received, the exchange rate has changed to 1 USD = 108 JPY. What amount should company X record as revenue in USD?
 A. \$90,909.09
 B. \$91,743.12
 C. \$92,592.59
 D. \$100,000

248. Company A, based in Canada, purchases equipment from a supplier in the United States for \$50,000 USD. The exchange rate at the time of purchase is 1 USD = 1.25 CAD. When the payment is made, the exchange rate has changed to 1 USD = 1.30 CAD. What amount should company A record as the cost of equipment in CAD?
 A. \$62,500
 B. \$65,000
 C. \$40,000
 D. \$48,000

249. Company X, based in the United States, receives a dividend payment of €50,000 from its subsidiary in Europe. The exchange rate at the time of receipt is 1 EUR = 1.1 USD. What amount should company X record as dividend income in USD if the exchange rate has changed to 1 EUR = 1.2 USD when the payment is deposited?
 A. \$55,000
 B. \$50,000
 C. \$45,454.55
 D. \$40,000

250. Company X, based in the United States, pays interest on a loan to a bank in Europe. The interest payment is €10,000, and the exchange rate at the time of payment is 1 EUR = 1.2 USD. What amount should company X record as the interest expense in USD?
 A. \$12,000
 B. \$10,000
 C. \$8,333.33
 D. \$14,000

251. Which of the following statements is true regarding the preparation of consolidated financial statements on the date of acquisition?

- A. Only the assets and liabilities of the subsidiary are included.
- B. Only the equity method is used to account for the subsidiary.
- C. The parent's and subsidiary's financial statements are combined using the acquisition method.
- D. The parent's financial statements remain separate from the subsidiary's.

252. When preparing consolidated financial statements on the date of acquisition, how are intercompany transactions treated?

- A. Eliminated in full.
- B. Recorded as revenue for the subsidiary.
- C. Ignored completely.
- D. Included in the parent's income statement.

253. How is goodwill calculated in the consolidated financial statements on the date of acquisition?

- A. It is calculated as the excess of the fair value of the subsidiary's identifiable net assets over the consideration transferred.
- B. It is calculated as the excess of the subsidiary's net income over the parent's net income.
- C. It is calculated as the difference between the subsidiary's book value and the fair value of its net assets.
- D. It is calculated as the difference between the parent's book value and the fair value of its investment in the subsidiary.

254. Which financial statements are consolidated on the date of acquisition?

- A. Only the income statements.
- B. Only the balance sheets.
- C. Both the income statements and balance sheets.
- D. Neither the income statements nor the balance sheets.

255. In the consolidated financial statements on the date of acquisition, how are unrealized profits on inventory treated?

- A. Ignored completely.
- B. Included in the parent's income statement.
- C. Included in the subsidiary's income statement.
- D. Included in the consolidated balance sheet.

83. Which of the following methods of depreciation is the most conservative?
 A. Straight-line depreciation
 B. Double-declining depreciation
 C. Units-of-production depreciation
 D. Not known
84. When should a company perform an impairment test for Property, Plant, and Equipment?
 A. When there is evidence of a significant decrease in the asset's value
 B. When the asset has been fully depreciated
 C. When the asset is sold
 D. Not known.
85. What are the advantages of a partnership form of business compared to a corporation?
 A. Greater flexibility in ownership structure and tax advantages.
 B. Greater access to financial capital and limited liability protection.
 C. Greater management control and less complex legal requirements.
 D. None of the above.
86. Which of the following is an example of a public enterprise in Ethiopia?
 A. Ethiopian Airlines
 B. Ethio Telecom
 C. Dangote Cement Ethiopia
 D. MOENCO
87. Which of the following is a characteristic of a public enterprise?
 A. Privately owned and controlled
 B. Run for profit
 C. Governed by a board of directors
 D. Regulated by the stock market
88. Which of the following is an internal factor affecting the operations of a public enterprise in Ethiopia?
 A. Economic conditions
 B. Political stability
 C. Regulatory environment
 D. Organizational culture
89. Impairment of an asset occurs when:
 A. The asset's fair value exceeds its carrying amount
 B. The asset's carrying amount exceeds its recoverable amount
 C. The asset is sold for a profit
 D. The asset is depreciated over time
90. The recoverable amount of an asset is the:
 A. Original cost of the asset
 B. Higher of its fair value less costs to sell and its value in use
 C. Accumulated depreciation of the asset
 D. Market value of the asset
91. Impairment loss on an asset is calculated as the difference between:
 A. The asset's carrying amount and its fair value
 B. The asset's historical cost and its recoverable amount
 C. The asset's fair value and its value in use
 D. The asset's carrying amount and its recoverable amount
92. How is fair value typically determined for a Level 1 asset?
 A. Through discounted cash flow analysis
 B. Based on quoted prices in an active market
 C. Using management estimates
 D. Through an independent appraisal
93. When measuring fair value, what does the term "exit price" refer to?
 A. The price at which an asset could be acquired
 B. The price at which an asset could be sold or transferred
 C. The historical cost of the asset
 D. The price at which an asset could be purchased
94. Which of the following is an example of a Level 3 input in the fair value hierarchy?
 A. Quoted prices in an active market for identical assets
 B. Inputs that are observable, but not considered to be the most reliable
 C. Unobservable inputs that are developed using the reporting entity's own assumptions

26. In preparing a bank reconciliation, the amount of checks outstanding would be
 - A. Deducted from the bank balance according to the depositor's records
 - B. Deducted from the bank balance according to the bank statement
 - C. Added to the bank balance according to the bank statement
 - D. Added from the bank balance according to the depositor's records
27. A debit may signify:
 - A. A decrease in an asset account
 - B. An increase in the owner's capital account
 - C. An increase in asset account
 - D. An increase in liability account
28. Which one of the following account is not appear on post-closing trial balance?
 - A. Cash
 - B. notes payable
 - C. Revenue
 - D. Owner's equity
29. The balance in unearned revenue at the end a period represents:
 - A. An asset
 - B. A liability
 - C. A revenue
 - D. An expense
30. The use of renumbered checks in disbursing cash is an application of the principle of
 - A. Establishment of responsibility
 - B. physical controls
 - C. Segregation of duties
 - D. documentation procedure
31. Under what caption a temporary investment in stock would be reported in the balance sheet?
 - A. Plant assets
 - B. Current assets
 - C. Investments
 - D. None of the above
32. Assume at the end of the fiscal year, accounts receivable has a balance of 120,000 Birr and allowance for doubtful accounts has a balance of 15,000Birr Then the expected realizable value of the accounts receivable is:
 - A. 15,000Birr
 - B. 135,000Birr
 - C. 105,000Birr
 - D. 120,000Birr
33. Assume ABC Company had an owner's equity balance of 180,000Birr at beginning of the period at the end of the period, the company had total assets of 245,000Birr and total liabilities 25,000Birr had occurred during the period?
 - A. 170,000 net income
 - B. 170,000 net loss
 - C. 15,000 net income
 - D. 15,000 net loss
34. An example of an accelerated depreciation method is:
 - A. straight-line
 - B. double-declining-balance
 - C. units-of-production
 - D. Depletion.
35. The receipt of cash from customers in payment of their accounts would be recorded by:
 - A. a debit to Cash and a credit to Accounts Receivable.
 - B. a debit to Accounts Receivable and a credit to Cash.
 - C. a debit to Cash and a credit to Accounts Payable.
 - D. a debit to Accounts Payable and a credit to Cash.
36. Which of the following transactions would increase both assets and liabilities?
 - A. Purchase of equipment on credit
 - B. Payment of utility bills
 - C. Sale of inventory for cash
 - D. Withdrawal of cash by the owner
37. If a company receives cash from customers for services rendered, how does it affect the accounting equation?
 - A. Assets decrease, Liabilities decrease
 - B. Assets increase, Owner's Equity increases
 - C. Liabilities decrease, Owner's Equity decreases
 - D. Assets decrease, Liabilities increase
38. Which of the following represents the residual interest in the assets of the entity after deducting liabilities?
 - A. Assets
 - B. Liabilities

128. XYZ Ltd has a 30% ownership interest in a joint venture. How should XYZ account for its investment in the joint venture under the equity method if the joint venture reports a profit of \$100,000?
- Recognize \$30,000 as revenue in XYZ's income statement
 - Recognize \$100,000 as revenue in XYZ's income statement
 - Recognize \$30,000 as a reduction in the carrying amount of the investment
 - Recognize \$100,000 as an increase in the carrying amount of the investment
129. What is the purpose of the post-closing trial balance?
- To ensure that debits equal credits after closing entries are made
 - To verify the accuracy of closing entries
 - To prepare financial statements
 - To analyze transactions before closing the books for the period
130. Which account is not closed at the end of the accounting period?
- Revenue accounts
 - Expense accounts
 - Dividend accounts
 - Asset accounts
131. Which of the following accounts is classified as a liability?
- Accounts Receivable
 - Prepaid Rent
 - Accounts Payable
 - Equipment
132. ABC Ltd. purchased equipment for Birr 800,000 by issuing a promissory note. Which accounts are affected by this transaction?
- Equipment increases; Notes Payable increases
 - Equipment increases; Cash increases
 - Equipment decreases; Notes Receivable decreases
 - Equipment decreases; Cash decreases
133. If a company records Birr 20,000 in depreciation expense for the period, which accounts are affected?
- Depreciation Expense increases; Accumulated Depreciation decreases
 - Depreciation Expense decreases; Accumulated Depreciation decreases
 - Depreciation Expense increases; Accumulated Depreciation increases
 - Depreciation Expense decreases; Accumulated Depreciation increases
134. Which costing method assigns fixed overhead costs to products?
- Variable costing
 - Activity-based costing
 - Standard costing
 - Absorption costing
135. Which cost changes in direct proportion to changes in the volume of production?
- Direct costs
 - Indirect costs
 - Variable costs
 - Fixed costs
136. What is the formula for contribution margin?
- Sales revenue - variable costs
 - Gross profit - fixed costs
 - Operating income - sales revenue
 - Cost of goods sold - operating expenses
137. Which of the following is an example of a fixed cost?
- Direct labor
 - Raw materials
 - Property taxes
 - Packaging materials
138. What is the difference between absorption costing and variable costing?
- Absorption costing assigns all manufacturing costs to products, while variable costing assigns only variable costs.
 - Absorption costing is used for internal decision-making, while variable costing is used for financial reporting.
 - Absorption costing provides a more accurate picture of product costs, while variable costing provides a better measure of profitability.
 - Absorption costing is used for long-term planning, while variable costing is used for short-term decision-making.

51. In a perpetual inventory system, which account is debited when merchandise is returned by a customer?
- A. Inventory account
 - B. Sales Returns and Allowances account
 - C. Cost of Goods Sold (COGS) account
 - D. Accounts Receivable account
52. Which of the following statements is true regarding the perpetual inventory system?
- A. It is only suitable for businesses with low-value, high-volume inventory items.
 - B. It updates inventory records continuously after each sale.
 - C. It requires physical inventory counts to determine the cost of goods sold (COGS).
 - D. It does not provide real-time information on inventory levels.
53. Which of the following best describes a merchandising business?
- A. A business that provides services to customers
 - B. A business that manufactures goods for sale
 - C. A business that buys and sells goods to customers
 - D. A business that invests in financial assets
54. Which of the following statements is true about the operating cycle of a merchandising business?
- A. It begins when inventory is purchased and ends when cash is received from customers.
 - B. It is shorter than the operating cycle of a service business.
 - C. It excludes the process of selling goods to customers.
 - D. It has no impact on the cash flow of the business.
55. If total assets decreased by Birr1,000 during a period of time and liabilities increased by Birr 2,000 during the same period, then the amount and direction (increase or decrease) of the period's changes in stockholder's equity is:
- A. Birr1,000increases
 - B. Birr 3,000decrease
 - C. Birr3,000increases
 - D. Birr1, 000decreases
56. How does the rendering of services on account affect the accounting equation?
- A. Liabilities increase; stockholder's equity decreases
 - B. Assets increase; liabilities increase
 - C. Assets decrease; stockholder's equity increases
 - D. Assets increase; stockholder's equity increases
57. If assets and liabilities at the beginning of the year were Birr 205,000 and Birr 140,000 respectively and at the end of the year were Birr 255,000 and Birr175, 000 respectively, calculate the net income if dividends of Birr 5,000 were paid and Birr 10,000 of additional capital stock was issued.
- A. Net income ofBirr10,000
 - B. Net loss of Birr15,000
 - C. Net income ofBirr15, 000
 - D. Net income of Birr25,000
58. Which of the following financial statements reports information as of a point in time?
- A. Retained earnings statement
 - B. Income statement
 - C. Statement of cash flows
 - D. Balance sheet
59. The financial statements are usually prepared in which of the following sequences?
- A. Income Statement, Balance Sheet, Retained Earnings, Cash Flows
 - B. Balance Sheet, Retained Earnings, Cash Flows, Income Statement
 - C. Balance Sheet, Retained Earnings, Income Statement, of Cash Flows
 - D. Income Statement, Retained Earnings, Balance Sheet, Cash Flows
60. Hanna Maid Service began the year with total assets of Birr 120,000 and stockholders' equity of Birr 40,000. During the year the company earned Birr 90,000 in net income and paid Birr 20,000 in dividends. Total assets at the end of the year were Birr 215,000. Stockholder's equity at the end of the year was:
- A. Birr130,000
 - B. Birr150,000
 - C. Birr110,000
 - D. Birr135,000
61. What is the purpose of an enterprise fund?
- A. To fund ongoing operations and services

- C. Owner's Equity
39. What does the term "debit" indicate in accounting?
- A. Increase in assets
 - B. Increase in liabilities
 - C. Increase in owner's equity
 - D. Increase in expenses
40. Which of the following represents the financial performance of a company over a specific period?
- A. Statement of Financial Position
 - B. Statement of profit or loss
 - C. Statement of cash flow
 - D. Statement of changes in equity
41. Which financial statement provides a snapshot of a company's financial position at a specific point in time?
- A. Statement of Financial Position
 - B. Statement of profit or loss
 - C. Statement of cash flow
 - D. Statement of changes in equity
42. What does it mean that **accrual basis** in accounting?
- A. Recording revenue and expenses when cash is received or paid
 - B. Recording transactions at their fair market value
 - C. Recognizing revenue or expenses when earned or incurred, regardless of when cash is exchanged
 - D. Adjusting entries made at the beginning of the accounting period
43. What is the first step in the accounting cycle?
- A. Journalizing transactions
 - B. Posting to ledger accounts
 - C. Analyzing transactions
 - D. Preparing financial statements
44. According to the double-entry accounting system, every transaction affects:
- A. One account only
 - B. Two accounts: one debited and one credited
 - C. Three accounts: one debited and two credited
 - D. Four accounts: two debited and two credited
45. Which of the following represents the correct order of steps in the accounting cycle?
- A. Analyze transactions, post to ledger, prepare financial statements, journalize transactions
 - B. Journalize transactions, analyze transactions, post to ledger, prepare financial statements
 - C. Post to ledger, analyze transactions, journalize transactions, prepare financial statements
 - D. Analyze transactions, journalize transactions, post to ledger, prepare financial statements
46. Which financial statement is prepared first using the adjusted trial balance?
- A. Statement of Financial Position
 - B. Statement of profit or loss
 - C. Statement of cash flow
 - D. Statement of changes in equity
47. Which of the following accounts is unique to a merchandising business compared to a service-based business?
- A. Accounts Receivable
 - B. Merchandising Inventory
 - C. Salaries Expense
 - D. Rent Expense
48. Under the periodic inventory system, when are inventory purchases recorded?
- A. After each sale
 - B. At the end of the accounting period
 - C. Whenever physical inventory counts are conducted
 - D. Inventory purchases are not recorded under the periodic system
49. Which inventory system is more suitable for businesses with high-value, low-volume inventory items?
- A. Perpetual inventory system
 - B. Periodic inventory system
 - C. Perpetual and periodic systems are equally suitable.
 - D. A periodic system is more suitable than perpetual system.
50. In a perpetual inventory system, when is the cost of goods sold (COGS) recorded?
- A. At the end of the accounting period
 - B. After each sale
 - C. At the beginning of the accounting period
 - D. Only during physical inventory counts

- B. the target company issues debt to finance a large dividend payment, making the acquisition less attractive.
 C. the target company sells off its most valuable assets to make itself less desirable to the acquirer.
 D. the target company's management threatens to resign en masse if the acquisition proceeds.
220. What is the purpose of a capital projects fund?
 A. To pay off government debt
 B. To fund ongoing operations and services
 C. To fund specific projects or programs that involve construction, acquisition, or improvement of major capital facilities or infrastructure
 D. To support political campaigns
221. Which of the following funds is used to account for the acquisition, construction, and maintenance of infrastructure assets?
 A. Enterprise fund
 B. Internal service fund
 C. General fund
 D. Capital projects fund
222. What is the main objective of International Public Sector Accounting Standards (IPSAS)?
 A. To harmonize financial reporting standards across all public sector entities globally
 B. To provide guidelines for anti-corruption and transparency in public sector entities
 C. To ensure that public sector entities have consistent and fair accounting practices
223. What is the primary purpose of the cash basis IPSAS?
 A. To provide a framework for financial reporting based on accrual accounting principles
 B. To provide guidance on how cash should be accounted for within a public sector entity
 C. To ensure compatibility with the accrual basis IPSAS
224. Which of the following is NOT one of the Pillars of IPSASB's conceptual framework?
 A. Accountability
 B. Transparency
 C. Control
 D. Comparability
225. Which of the following is NOT one of the components of Financial Statements as per IPSAS?
 A. Balance Sheet
 B. Statement of Financial Performance
 C. Statement of Cash Flows
 D. Statement of Assets and Liabilities
226. Which of the following is NOT an IPSAS requirement for presentation of financial statements?
 A. Proper classification, presentation and disclosure of information
 B. Disclosure of major components of net worth
 C. Disclosure of contingent liabilities
 D. Disclosure of revenue forecasts
227. what does a white knight defense entail?
 A. the target company merges with a friendly suitor to avoid acquisition by a hostile bidder.
 B. the target company issues debt to finance a large dividend payment, making the acquisition less attractive.
 C. the target company sells off its most valuable assets to make itself less desirable to the acquirer.
 D. the target company's management threatens to resign en masse if the acquisition proceeds.
228. Which defense mechanism involves the target company making itself less attractive by taking on excessive debt or engaging in unfavorable financial transactions?
 A. crown jewel
 B. poison pill
 C. scorched earth
 D. golden handshake.
229. which of the following is a characteristic of a merger?
 A. both companies maintain their separate identities.
 B. one company purchases another company's shares.
 C. the fair value of consideration transferred is recorded as goodwill.
 D. shareholders of the merged companies receive shares in the new entity.

- C. Recognizing the branch's equity separately in the consolidated financial statements.
 D. Ignoring the financial statements of the branch in the consolidation process.
151. When preparing consolidated financial statements, what does an eliminating intercompany transaction involve?
 A. Recognizing intercompany transactions as revenue.
 B. Adjusting the financial statements to remove transactions between the branch and home office.
 C. Ignoring the impact of intercompany transactions.
 D. Treating intercompany transactions as extraordinary items
152. What primary method of arranging a business combination where one company acquires another through the purchase of its net assets?
 A. Merger
 B. Consolidation
 C. Acquisition
 D. Joint venture
153. Which method of business combination involves the creation of a new entity to which the combining companies transfer their net assets?
 A. Merger
 B. Consolidation
 C. Amalgamation
 D. Purchase method
154. In a statutory merger, what happens to the combining companies?
 A. They continue to exist as separate legal entities
 B. They dissolve, and a new entity is formed
 C. They become subsidiaries of a new parent company
 D. They enter into a joint venture agreement
155. In a leveraged buyout (LBO), how is the acquisition financed?
 A. Through stock issuance
 B. With funds borrowed against the target company's assets
 C. Through government grants
 D. By issuing bonds
156. Which accounting standard provides guidance on business combinations?
 A. IFRS 9
 B. IFRS 3
 C. IAS 16
 D. IAS 38
157. In a hostile takeover, how does the acquiring company gain control of the target company?
 A. Through negotiation and agreement
 B. By purchasing a majority of the target company's stock without its approval
 C. By forming a joint venture
 D. Through a court order
158. In a vertical merger, what is the relationship between the combining companies?
 A. Supplier and customer
 B. Competitors in the same industry
 C. Parent and subsidiary
 D. Unrelated businesses
159. What is the primary reason for recognizing deferred tax liabilities and assets?
 A. To minimize current income tax payable
 B. To smooth out fluctuations in income tax expense
 C. To comply with tax regulations
 D. To adjust financial statements to tax accounting.
160. Deferred tax liabilities are recognized when:
 A. Taxable income exceeds book income
 B. Tax expense is greater than book income
 C. Tax rates decrease
 D. Tax expense is less than book income
161. How are deferred tax assets and liabilities affected when a temporary difference becomes permanent?
 A. Deferred tax assets decrease; deferred tax liabilities increase
 B. Deferred tax assets increase; deferred tax liabilities decrease
 C. Deferred tax assets are eliminated; deferred tax liabilities remain unchanged
 D. Deferred tax liabilities are eliminated; deferred tax assets remain unchanged.

72. Company B, based in Europe, exports goods to a customer in the United States and invoices \$50,000. If the exchange rate is 1 EUR = 1.3 USD, what is the EUR equivalent of the revenue?
- €38,461.54
 - €50,000
 - €62,500
 - €65,000
73. Which of the following is not a primary user of financial accounting information?
- Shareholders
 - Management
 - Regulatory authorities
 - Customers
74. What is the purpose of financial accounting?
- To provide information for internal decision-making
 - To facilitate strategic planning by management
 - To communicate financial information to external parties
 - To control and monitor internal operations
75. If a company is using the specific identification method of inventory costing, which of the following statements is true?
- The cost of each inventory item can be easily tracked and recorded.
 - It is likely that different units of inventory have different unit costs.
 - The company must have a sophisticated inventory tracking system.
 - All of the above are true.
76. A company has 100 units of inventory with a cost of Birr 50 per unit. On March 1, they purchase 150 additional units of inventory with a cost of Birr 60 per unit. On April 1, they sell 200 units of inventory. Using the FIFO method, what is the cost of goods sold?
- Birr 11,000
 - Birr 12,000
 - Birr 13,000
 - Birr 14,000
77. Which of the following asset must be depreciated over its useful life?
- Land
 - Buildings
 - Account receivable
 - Cash
78. Which of the following is an example of tangible fixed assets?
- Goodwill
 - Patents
 - Land and Buildings
 - Copyright
79. What is the main difference between amortization and depreciation?
- Amortization is for tangible assets, and depreciation is for intangible assets.
 - Amortization is for intangible assets, and depreciation is for tangible assets.
 - Amortization is for natural resources, and depreciation is for patented technologies.
 - None
80. A company acquired a building for Birr 100,000 and estimates its useful life to be 25 years. What is the annual depreciation expense of the building in straight-line depreciation?
- Birr 4,000
 - Birr 4,500
 - Birr 5,000
 - None of the above
81. When would a company use the revaluation model instead of the cost model for Property, Plant, and Equipment?
- When the fair value of the asset can be reliably measured?
 - When the asset is difficult to value
 - When the company is experiencing financial difficulties
 - Not necessary at all
82. Which of the following is a limitation of using the cost model for Property, Plant, and Equipment?
- It does not reflect changes in the asset's value
 - It provides a more accurate measure of an asset's economic benefits
 - It is more useful for heavily depreciated assets
 - Not necessary at all

106. What is the journal entry to record the write-off of an uncollectible account using the allowance method?
- Debit Allowance for Doubtful Accounts, Credit Accounts Receivable
 - Debit Bad Debt Expense, Credit Allowance for Doubtful Accounts
 - Debit Accounts Receivable, Credit Allowance for Doubtful Accounts
 - Debit Bad Debt Expense, Credit Accounts Receivable
107. Which one of the following *not* describes cash?
- Most illiquid asset
 - Basis for measuring and accounting for all items
 - Standard medium of exchange
 - Current asset
108. Which of the following item in a bank reconciliation that will result in an adjusting entry by the depositor?
- Outstanding checks
 - Deposit in transit
 - Bank collections
 - Bank error
109. What is the primary purpose of accounting software in a computerized accounting system?
- To manually record transactions
 - To calculate financial ratios
 - To store and process financial data efficiently
 - To eliminate the need for internal controls
110. Which of the following is a feature of computerized accounting systems?
- Reliance on manual data entry
 - Limited reporting capabilities
 - Ability to automatically generate financial statements
 - Requirement of extensive paper-based records
111. Which of the following is a characteristic of a manual accounting system?
- Real-time processing of transactions
 - Utilization of accounting software
 - Reliance on paper-based records and journals
 - Automated generation of financial statements
112. Which of the following statements is true regarding the accuracy of financial reporting in manual and computerized accounting systems?
- Manual systems are generally more accurate than computerized systems.
 - Computerized systems are generally more accurate than manual systems.
 - Both manual and computerized systems have similar levels of accuracy.
 - The accuracy of financial reporting depends solely on the type of system used.
113. How does the speed of processing transactions differ between manual and computerized accounting systems?
- Manual systems process transactions faster than computerized systems.
 - Computerized systems process transactions faster than manual systems.
 - Both manual and computerized systems process transactions at the same speed.
 - The speed of processing transactions depends on the complexity of the transaction.
114. How does the level of accuracy in financial reporting differ between manual and computerized accounting systems?
- Manual systems are generally more accurate than computerized systems.
 - Computerized systems are generally more accurate than manual systems.
 - Both manual and computerized systems have similar levels of accuracy.
 - The accuracy of financial reporting depends on external factors.
115. Green Company's ending inventory is understated 4,000 Birr. The effects of this error on the current year's cost of goods sold and net income, respectively, are:
- Understated, overstated
 - Overstated, overstated
 - Overstated, understated
 - Understated, understated
116. When preparing a bank reconciliation, bank collections are:
- Deducted from the bank statement balance.
 - Added to the balance per books.
 - Added to the bank statement balance